

LTTS Q2FY26

LTTS | NSE/BSE | Large Cap | Engineering Research & Development (ER&D;)

Report Date: 17-Oct-2025 | Analyst: Research Team

CMP

N/A

Target: N/A

Upside: N/A

12 Months

N/A

Company Data		Shareholding (%)			
Market Cap (Rs. cr)	N/A	Category	Q3FY25	Q4FY25	Q1FY26
52 Week High – Low (Rs.)	N/A – N/A	N/A	N/A	N/A	N/A
Enterprise Value (Rs. cr)	N/A	Price Performance			
Outstanding Shares (cr)	N/A	3 Month	6 Month	1 Year	
Free Float (%)	N/A	Absolute Return	N/A	N/A	N/A
Dividend Yield (%)	-	Absolute Sensex	N/A	N/A	N/A
6M Avg Volume (cr)	N/A				
Beta	N/A				
Face Value (Rs.)	N/A				

COMPANY OVERVIEW

L&T; Technology Services Limited (LTTS) is a global leader in engineering and technology services and a listed subsidiary of Larsen & Toubro Limited (L&T;). The company offers design, development, testing, and sustenance services across products and industrial processes. LTTS operates across three core business segments: Mobility, Sustainability, and Tech.

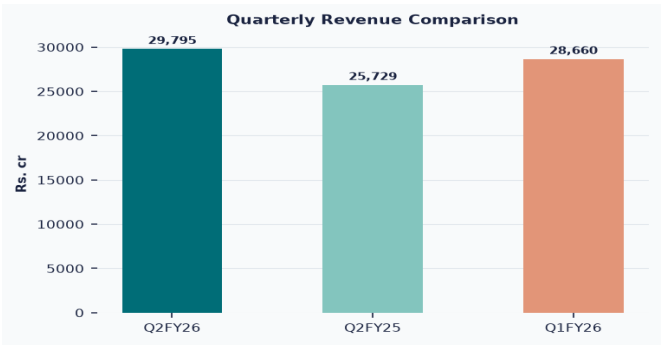
With a global workforce of over 23,670 employees operating across 23 global design centers, 30 sales offices, and 105 innovation labs, LTTS serves a diverse client portfolio including 69 Fortune 500 companies and 57 of the top ER&D; companies globally. Key market verticals include industrial products, medical devices, transportation, telecom & hi-tech, and process industries.

- Achieved record-high large deal TCV of ~USD 300 million in Q2FY26, highlighted by a USD 100 million multi-year Sustainability deal and a ~USD 60 million Tech segment win.
- Strong segment performance driven by double-digit annual growth in Sustainability (12.6% YoY) and resilience in the Tech segment (28.6% YoY).
- Expanding leadership in Industrial AI and GenAI through proprietary platforms like Qguard.ai, FusionWorld.ai, PLxAI, AiNexus, and GENIQ, with licenses contributing 1% to trailing 12-month revenue.
- Strategic innovation partnerships with ecosystem leaders such as NVIDIA, SiMa.ai, and the MIT Media Lab to accelerate physical and agentic AI deployments.
- Robust intellectual property portfolio with 1,601 total patent filings, including 978 co-authored with clients and 216 patents specifically in AI/Gen AI.

FINANCIAL SUMMARY (ANNUAL)

Financial data not available.

CHARTS & TRENDS



QUARTERLY FINANCIALS (CONSOLIDATED)

Rs. cr	Q2FY26	Q2FY25	YoY Growth (%)	Q1FY26	QoQ Growth (%)
Sales	29795	25729	15.8%	28660	4.0%
EBITDA	4908	4660	5.3%	4624	6.1%
EBITDA Margin (%)	16.5%	18.1%	-160 bps	16.1%	40 bps
EBIT	3982	3877	2.7%	3813	4.4%
PBT	N/A	N/A	N/A	N/A	N/A
Reported PAT	3287	3196	2.8%	3157	4.1%
Adj. EPS (Rs.)	31.02	30.20	2.7%	29.81	4.1%

OUTLOOK & VALUATION

LTTS maintains a positive outlook driven by an expanded order book, strong large deal momentum, and early monetization of its AI platforms. Management reiterates its medium-term revenue target of USD 2 billion and aspires to achieve double-digit constant currency growth in FY26. Furthermore, revenue and EBIT margins are expected to show sequential improvement in H2FY26 compared to H1FY26.

KEY RISKS

- Macroeconomic uncertainties and geopolitical unpredictability impacting enterprise ER&D; spending decisions.
- Ongoing revenue softness in the Mobility segment, which declined 10.1% YoY in Q2FY26.
- Foreign currency volatility impacting operating margins and net yield.

INVESTMENT RATING CRITERIA

Rating	Large Caps	Mid Caps	Small Caps
Buy	Upside above 10%	Upside above 15%	Upside above 20%
Accumulate	–	Upside 10%–15%	Upside 10%–20%
Hold	Upside 0%–10%	Upside 0%–10%	Upside 0%–10%
Reduce/Sell	Downside > 0%	Downside > 0%	Downside > 0%

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